GMS WEEKLY

Your Source for Recycling News

April 1st, 2022
Volume 237, Issue 1025
Week 13

Highlights:

- **India and Pak back.**
- **Improving steel.**
- **Losses made up.**
- **Bangla out.**
- **Some reluctance.**

QUOTE of the WEEK

"If you are working on something that you really care about, you don't have to be pushed. The vision pulls you."

– *Steve Jobs*

MARKET COMMENTARY

RE-ARRANGING!

Both Pakistani and (especially) Indian markets have come surging back this week, to lead the way over a lackluster Bangladesh that has virtually dropped out of contention of late.

Firming steel plate prices in India have been the key driving factor behind this, and it still seems inevitable that the USD 700/LDT mark could be breached into these two markets, on upcoming sales in the near future (as long as these fundamentals hold).

Pakistan has been on the sidelines of late, but appear to have woken up this week, in the face of some serious and sustained competition from a resurgent India and a Bangladeshi market that's begun to slip in the rankings.

Most of the losses on Indian steel plate prices have been made up over the last 3 - 4 weeks and the Alang market finishes this week in a rare position i.e. leading the market rankings ahead of all their sub-continent competitors, especially the usually pole-positioned Bangladesh.

Bangladeshi steel plate prices have been falling in recent weeks, and despite firming nearly USD 24/Ton by mid-week, the industry has seen them plummet from the summit to the bottom of the (sub-continent) rankings as their plate prices declined almost the same amount by the time the week ended.

Furthermore, such a pricing reversal certainly sees them positioned uncompetitively on any market candidates for the time being – even on geographically positioned units in the Far East, which are now heading towards Indian and Pakistani shores.

Finally, in the West, the Turkish market remains unchanged, firmly priced and positioned, with minimal tonnage to compete on.

Overall, there has been some hesitancy to dip in at some of these historical highs approaching USD 700/LDT, across all sub-continent markets. However, due to continually impressive and improving steel prices that seem to have been performing well on the back of the ongoing Ukraine crisis, it's a wonder how long these numbers will stay around.

For week 13 of 2022, GMS demo rankings / pricing for the week are as below.

Demo Rank	Location	Sentiment	Dry Bulk USD / LDT	Tankers USD / LDT	Containers USD / LDT
1	India	Improving	670 / LDT	680 / LDT	690 / LDT
2	Pakistan	Improving	660 / LDT	670 / LDT	680 / LDT
3	Bangladesh	Weakening	650 / LDT	660 / LDT	670 / LDT
4	Turkey	Steady	450 / LDT	460 / LDT	470 / LDT

BANGLADESH

PLUMMET FROM SUMMIT!

Rough weeks.

Bangladesh has endured a rough few weeks, with steel plate prices declining from their previous highs and, local steel mills (as a result) have cooled their interest in buying re-rollable product.

Meanwhile, as most ships are now being diverted towards India and Pakistan (given the increasing gulf in prices), Bangladeshi mills will have to improve their levels in the coming week(s), in order to secure any inventory as there is likely to be a shortage of supply in the weeks ahead, so low are offers on units from Chattogram Buyers at present.

Sales lacking.

On the flip side, local anchorage remained busy with 7 fresh arrivals this week alone, which should hold over local Recyclers for the coming weeks as these units are digested and local offerings start to react to the competition and domestic fundamentals.

Consequently, there have been no market sales to report into Bangladesh over the past week and local Buyers will have to up their game in order to secure any available vessels moving forward.

NO MARKET SALES REPORTED

INDIA

TURNAROUND!

Clawing back.

The scrap steel market in India has clawed back most of the losses sustained over the last three weeks, placing Alang as the number one ranked ship recycling destination in the Indian sub-continent – the first in a while, especially given Bangladesh's US$ / LT supremacy of late!

Even conventional units now look destined for India – including large LDT Suezmax / Aframax Tankers and Capesize Bulkers that are normally heading towards Pakistan or Bangladesh instead – so impressive has been the turnaround from Alang in recent weeks.

Encouragement.

The Indian Rupee also remains settled in the high Rs. 75s against the U.S. Dollar after some worrying depreciations earlier in the year, and this should give Alang Buyers further encouragement moving forward – especially in the near term.

However, the Ukraine crisis does stand to affect the Indian market in the long term, especially since both Iran and Russia are suppliers of oil to the Indian economy and with American sanctions targeting both nations, it is only a matter of time until the Indian Government can figure out how to continue to procure cost-effective oil for the masses and keep the wheels of the Indian economy in motion.

NO MARKET SALES REPORTED

PAKISTAN

STARTING TO COMPETE!

Political turmoil.

Despite the political turmoil in Pakistan and question marks over the future of Prime Minister Imran Khan, vessel prices from Gadani have come back to become competitive with a soaring India and even firm past a recently roaring Bangladeshi market.

The domestic political uncertainty and the Ukraine crisis has led to Gadani Recyclers finding excuses not to compete of late, even though local steel prices remained firmly positioned. This has, of course, been a classic performance issue with the Pakistani market whereby local Recyclers have historically followed a rampant India vs. taking pricing cues from their own fundamentals.

Missing out.

Consequently this week, even though Gadani Buyers have lost out to Alang Buyers on much of the working market tonnage or those units in Cash Buyer hands, there is hope moving into the second quarter of the year that local Buyers will snag their share of favored tonnage.

NO MARKET SALES REPORTED

TURKEY

QUIET.

It has been another relatively inactive week in Turkey, with not much to report on market negotiations or local fixtures. Local steel plate price remains stable whilst import steel dips by about USD 5/Ton.

Import steel dips.

As the conflict in the Baltic rages on, Turkish Buyers remain ever so attentive on local fundamentals, especially the Lira, that is once again continuing its descend towards TRY 15.0 against the U.S. Dollar.

Meanwhile, as the Indian and Pakistani markets head towards the hotly anticipated USD 700/LDT mark, Turkish Recyclers certainly have their work cut out for them, in trying to tempt Sellers of non-EU units into delivering their units to Aliaga's shores.

Designated spot?

For now, the Turkish market can remain content knowing that virtually all recycling units sailing out of EU waters have a designated spot on a Turkish yard.

NO MARKET SALES REPORTED

AMAZING FACTS

- *Bullfrogs do not sleep.*
- *A snail breathes through its foot.*
- *Fish cough.*
- *It took of the creator of the Rubik's Cube one month to solve the cube after he created it.*
- *Japanese square watermelons aren't edible. They are purely ornamental!*
- *An ant's sense of smell is stronger than a dog's.*
- *Tigers have striped skin not just striped fur. The stripes are like fingerprints and no two tigers have the same pattern.*
- *Elephants are the only mammal that can't jump.*
- *Alligators will give manatees the right of way if they are swimming near each other.*
- *Baked beans aren't baked but stewed.*
- *Despite its hump, camels have straight spines.*
- *Sunsets on Mars are blue.*
- *Digging a hole to China is actually possible if you start in Argentina.*
- *Mosquitos have 47 teeth.*

IMPORTANT DATES

INDIA	
BANK HOLIDAYS	**BEACHING TIDES**
April 10 – Ram Navami April 15 – Good Friday	March 30 – April 05 April 16 – April 22

BANGLADESH	
BANK HOLIDAYS	**BEACHING TIDES**
April 14 – Bengali New Year's Day April 29 – May Day	April 01 – April 04 April 17 – April 20

IMPORTANT BANK HOLIDAYS		
CHINA	**PAKISTAN**	**TURKEY**
April 05 – Qinming Festival	**No holidays in April**	April 23 – National Sovereignty and Children's Day

Prices indicated above are as reported in the market and are not necessarily accurate. This information is provided without prejudice and is given in good faith and without any guarantees whatsoever. While every care has been taken in the preparation of this report, no liability can be accepted for any loss incurred in any way whatsoever by any person relying on the information contained herein. Opinions expressed herein may be deemed subjective and arbitrary. This WEEKLY is intended only for the person or entity to which it is addressed and may contain confidential and/or privileged material. Any review, retransmission, dissemination or other use of this information by persons or entities other than the intended recipient is prohibited.

ALANG - Port Position as of April 01, 2022

No.	VESSEL NAME	LDT	TYPE	STATUS
1	*AD 90 (Under Tow)*	*5,719*	*Jackup Rig*	*Beached March 25*
2	*Berge Arctic*	*27,461*	*Bulk Carrier*	*Beached March 31*
3	*Greatship Rohini (Under Tow)*	*2,525*	*Supply Vessel*	*Beached March 31*
4	Horizon	8,116	Chemical Tanker	Arrived March 30
5	Kigoriak	4,855	Ice Breaker	Arrived March 20
6	*MNG Capt James Cook (Under Tow)*	*2,778*	*Supply Vessel*	*Beached March 25*
7	*Supporter (Under Tow)*	*3,853*	*Barge*	*Beached March 25*
8	*Tag 4 (Under Tow)*	*1,803*	*Supply Vessel*	*Beached March 25*
Total Tonnage		**57,110**		

CHATTOGRAM - Port Position as of April 01, 2022

No.	VESSEL NAME	LDT	TYPE	STATUS
1	Al Salam	9,409	Tanker	Arrived March 27
2	Anastasia I	16,897	Tanker	Arrived March 31
3	Basundhara	7,782	Bulk Carrier	Arrived March 20
4	Casti	10,043	Tanker	Arrived March 30
5	Fox	995	LPG	Arrived March 29
6	Gala	16,885	Tanker	Arrived February 28
7	Race	22,037	Bulk Carrier	Arrived March 30
8	T Audora	1,212	Tanker	Arrived March 27
Total Tonnage		**85,259**		

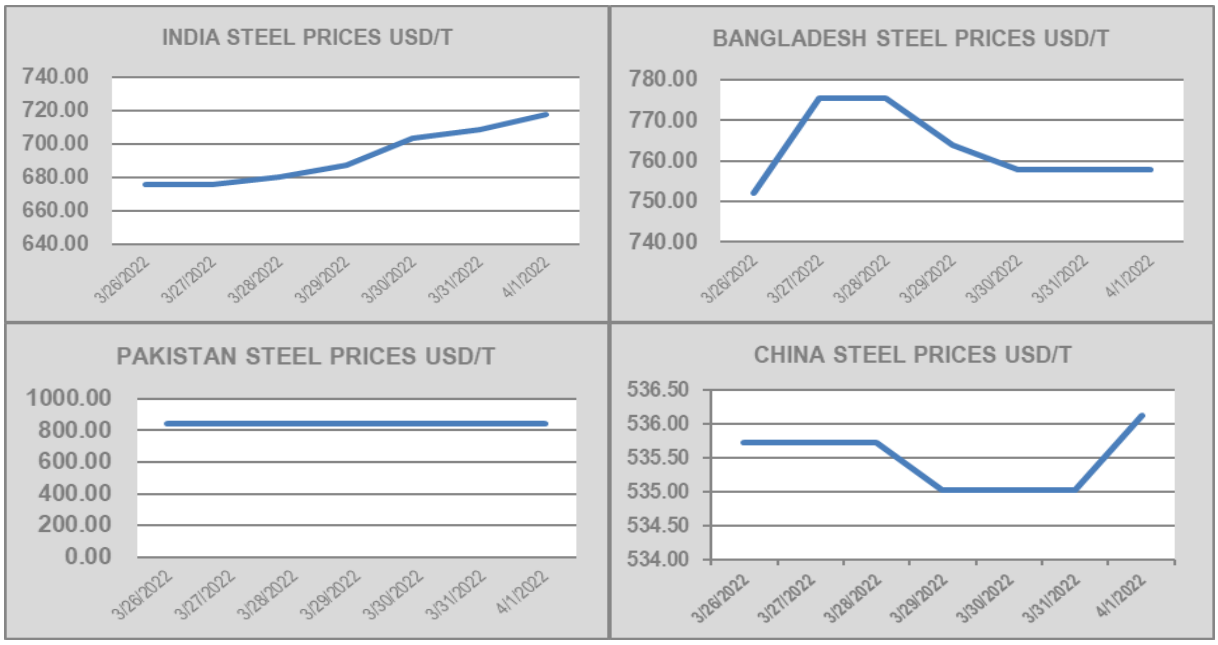
GADANI - Port Position as of April 01, 2022

No.	VESSEL NAME	LDT	TYPE	STATUS
1	Oceanic	4,409	Tanker	Arrived March 28
Total Tonnage		**4,409**		

WHILE EXTREME CARE HAS BEEN TAKEN IN THE PREPARATION OF THIS REPORT, NO LIABILITY CAN BE ACCEPTED FOR ANY LOSS INCURRED IN ANY WAY WHATSOEVER BY ANY PERSON RELYING ON THE INFORMATION CONTAINED HEREIN.

Steel Plate Prices

DATE	INDIA STEEL PRICES USD/T	INDIA STEEL PRICES	PAKISTAN STEEL PRICES USD/T	PAKISTAN STEEL PRICES	BANGLADESH STEEL PRICES USD/T	BANGLADESH STEEL PRICES	CHINA STEEL PRICES USD/T
3/26/2022	675.85	51,500.00	845.71	148,000.00	752.06	64,000.00	535.73
3/27/2022	675.85	51,500.00	845.71	148,000.00	775.56	66,000.00	535.73
3/28/2022	680.44	51,700.00	845.71	148,000.00	775.56	66,000.00	535.73
3/29/2022	687.02	52,200.00	845.71	148,000.00	763.81	65,000.00	535.04
3/30/2022	703.46	53,400.00	845.71	148,000.00	757.93	64,500.00	535.04
3/31/2022	708.44	53,700.00	845.71	148,000.00	757.93	64,500.00	535.04
4/1/2022	717.68	54,400.00	845.71	148,000.00	757.93	64,500.00	536.14



www.gmsinc.net
GMS_Leadership
GMS, Inc.
snp@gmsinc.net

Athens, Greece Tel: +30.210.899.0669
Cumberland, USA Tel: +1.301.759.9240
Hamburg, Germany Tel: +49.40. 3197.9963
Shanghai, China Tel: +86.216.075.1900
Singapore Tel: +65.6823.8037
Bhavnagar, India Tel: +91.278.300.5253
Dubai, UAE Tel: +971.4.423.0720
New York, USA: +1.240.505.9716
Seoul, South Korea Tel: +82.10.4650.0720
Tokyo, Japan Tel: +81.3.5453.6311